

4.1. RESTRICTED VERSUS UNRESTRICTED FUNDS

Unlike SWF and pension funds, the world of endowments and foundations prominently features *restricted* funds. Harvard has the largest university endowment, at \$30.7 billion as of June 30, 2012. But only 17% is unrestricted. The remainder has temporary restrictions (64%), or is permanently restricted (19%). If these restrictions are not adhered to, donors may sue for return of their money—as the Robertson family did in accusing Princeton of mismanaging their gift.

Originally intended to educate students at Princeton’s Woodrow Wilson School for careers in government, the Robertson family, heirs to a fortune from the A&P supermarket chain, donated \$35 million in 1961. But the family was dismayed to learn, years later, that the funds were being used to teach students going into all sorts of careers except government (“advanced study, the teaching profession, college administration, private business, journalism, law, medicine, and music”). Thanks to Princeton’s talented investment managers, the money grew to roughly \$900 million. Princeton settled in December 2008, right before trial, and the terms required Princeton to pay all of the Robertson Foundation’s substantial legal fees (\$40 million), and give the Robertson family \$50 million to launch a new foundation to carry out the original intent of the gift.⁵⁷

Most endowment money is restricted. Table 1.4 breaks down the \$408 billion in university and college wealth reported to the National Association of College and University Business Officers (NACUBO) and Commonfund in 2011. Of the total endowment, only \$15.4 billion (4%) is *unrestricted*. *True endowment*,

Table 1.4

<i>Components of Total Endowment in 2011 (Billions) NACUBO</i>		
	<i>Billions</i>	<i>Percent</i>
True Endowment	188.11	46
Donor-restricted	172.67	42
Unrestricted	15.44	4
Term Endowment	16.88	4
Quasi-Endowment	92.44	23
Funds Held in Trust by Others	16.46	4
Other	94.24	23
Total Endowment	408.13	100

⁵⁷ Recounted by Conti-Brown (2008) and “Princeton and Robertson Family Settle Titanic Donor-Intent Lawsuit,” *Chronicle of Higher Education*, Dec. 10, 2008.